

## Europe Media: Advertising: Cannes feedback: AI now being broadly deployed, but implications are nuanced

We are back from our field trip to the **Cannes Lions Festival**, where we met with CMOs, holdcos, independent agencies and ad tech players through >20 meetings across four days. Our key takeaways were:

1. The correlation between media spend and GDP has broken in 2026, with new dollars from AI players driving upgrades, despite the Middle East conflict. But there are concerns 2027 will be more challenging, as we comp sports and political events.
2. Major LLMs may need help to scale their advertising revenues, but should be able to access search, brand and performance budgets. Generative search, as a category, is expected to ramp up exponentially.
3. AI is now being deployed in almost all ad campaigns, with agencies seeing growth in their production revenues. But there appears to be demand for service alongside technology. We did not hear any discussion of headcount reduction by the large agencies. Attendance at Cannes Lions appeared well above previous years.
4. There may be more effective ways for advertisers to set up their marketing organisations, but change is likely to be challenging and time-consuming. CMOs have short tenures and other more pressing priorities.
5. Media agencies are well-placed to aggregate the purchase of tokens from LLMs, but will management teams take advantage of this opportunity?
6. LLMs may commoditize DSP user interfaces, and agentic AI can potentially remove the need for them all together. But is a buying agent really that different from a DSP?
7. LiveRamp services are difficult to replicate although Omnicom have stated that they believe they have managed it; and Dentsu noted that they are building an alternative. Industry feedback was that this deal would help Publicis achieve its stated strategic objectives.
8. Industry participants appeared generally optimistic that conversations with clients around AI and data integrations can lead to a return to growth in IT services, but progress remains slow.

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